



Sentiment

It refers to the amount of confidence and sentiment people have in the market.

Positive Long-term
Outlook



Positive Long-term
Sentiments

Negative Long-term
Outlook



Negative Long-term
Sentiments

Overall market Sentiment is identified by the overall outlook in the market and the confidence amongst the investors about the future. Positive events improve market sentiments, negative events degrade sentiments.

Events leading to Positive Sentiments

- o Controlled inflation numbers.
- o Growth in Industrial Production Index.
- o Growth in GDP.

Events leading to Negative Sentiments

- o Russia-Ukraine War.
- o High Inflation in the economy.
- o Political instability in a country.



Liquidity

The availability of funds or cash in the system is referred to as liquidity. Liquidity is when low interest rates are there in the market, economy is doing well, banks are lending well and so on.

In these scenarios, there is an ample cash to enter the market.